Briefing on Soviet economy. They are in very bad shape and if we can cut off their credit they'll have to yell "Uncle" or starve. We had cabinet meetings on our own economy. It is imperative that we get further budget cuts. So far the Dems aren't budging. Our strategy is to move toward a bipartisan agreement on the entitlements, the only real savings must be found there.

March 30

News conference briefing. Family theater. Bunch of Congressmen came in for photos, one from Tampico area brought mementos from my birthplace and a picture that is eerie. The day before election day, Nov. 3, 1980, a photo was taken of a rainbow, the end came down exactly on the building where I was born. . . . Senators Bob Dole and [Russell] Long came up to the house to talk the deficit. I love Sen. Long and he's a Dem. who has been with us all the way, but now he thinks only answer to deficit is a big tax raise. I just can't go along . . .

April 14

Met with our team on the budget discussions. I think we're coming close to a good negotiating position but it requires Cap W. to make a $5 billion cut, plus another $2 billion cut in a cap on salaries which would be applied to all salaries across the board, a 4 per cent increase for each of next three years. He's not happy; neither am I but the stakes are too high to not do it.

April 15

Income tax day. People actually demonstrating against paying their tax and Dem. Congressmen are demanding that we rescind our tax cuts or at least part of them.